

ALIBABA GROUP HOLDING LIMITED (NYSE: BABA / HK: 9988)

The AI Cloud Re-Rating: Paying 12x Earnings for China's AI Infrastructure

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Recommendation	12-Mo. Price Target	Current Price	Implied Upside	Risk Rating
BUY	\$180	\$105.85 Oct 2, 2026	+70.0%	High VIE / geopolitical

Snapshot			
Market cap	~\$263 bn	ADSs out. (dil.)	~2.49 bn
52-week range	\$91.99 – \$189.61	Net cash (narrow)	~\$30.7 bn
TTM revenue / adj. EBITA	RMB 1,046 bn / ~RMB 64 bn	FY26 adj. EBITA margin	7.5%
Forward P/E (FY27E)	11.5x (12.1x ex-cash)	Dividend yield	~1.0%
AI Cloud growth	+45% (9th accel. qtr)	AI-product rev growth	Triple digits, 12 qtrs
Next catalyst	Sept-qtr print ~mid-Nov	MaaS ARR target	RMB 30B by Dec 2026

This note is independent research-style analysis for informational purposes only and is not investment advice. Financial figures from company releases (June quarter FY2027 reported August 2026; FY2026 10-K/press release). FX: \$1 = RMB 7.20. Prices as of October 2, 2026 close. Projections and the price target are the author's estimates. This note supersedes the September 30, 2026 edition (BUY, \$145 target), which is withdrawn. China ADR investing involves VIE-structure risk, regulatory risk, and currency risk.

1 Investment Thesis

We keep the **BUY** and raise the target from \$145 to **\$180**. The September note's DCF had four leaks the hardened rebuild closes: a **flat 10.5% discount** across scenarios, **3.0% terminal growth** above the cap, a **5-year horizon** that ended just as the AI-capex J-curve inflects, and the full RMB 692B of cash-plus-investments added at carrying value. Rebuilt under v2 rules — 10-year scenario DCF, base discount 10.0% (standard tier: net-cash market leader, but VIE/geopolitical/regulatory risk precludes the 9% compounder tier), bear 12.5%, bull 8.5%, terminal growth capped at 2.5%, and a **20% haircut on investment carrying values** — fair value is **\$179.66 → \$180 target, +70.0%** against the \$105.85 quote. The old \$145 target sat *below* the old DCF on a 'show-me discount'; the hardened rule is that the target *is* the weighted DCF unless a written, falsifiable justification departs from it. There is no such justification: the discount for the J-curve and the geopolitical overhang is already inside the 10–12.5% discount rates and the investment haircut. Double-discounting the same risks was the old note's error, and this rebuild corrects it.

The core judgment is unchanged: Alibaba is two companies wearing one stock price — a mature Chinese e-commerce cash machine generating roughly RMB 40B of adjusted EBITA per quarter, and the fastest-scaling AI cloud business in China (+45% revenue growth for nine straight quarters of acceleration, margins now expanding from 7.2% to ~11.6%). The market sees only the first company and its problems: the stock has fallen 44% from its \$190 high, pricing the shares at just 12.1x forward earnings ex-cash — a multiple that assumes the AI cycle contributes nothing. The 10-year DCF is the right lens because the story is the J-curve's *shape*: FCF prints –RMB 45B in FY27, inflects positive in FY29–30 as the RMB 380B capex envelope completes, and compounds to RMB 336B by FY36. A 5-year model values the trough and misses the recovery; that was the old model's structural error.

Why own it

The e-commerce engine still prints cash. The E-commerce Group generated RMB 39.7B of adjusted EBITA in the June quarter alone (–1% YoY, held flat despite the quick-commerce scale-up) — an annualized ~RMB 160B funding base for the AI build, valued at a distressed multiple.

AI Cloud is the best AI-infrastructure asset in China, and it is accelerating. Revenue +45% YoY (ninth straight quarter of acceleration), adjusted EBITA +133% with margins expanding to ~11.6%; AI-related product revenue growing triple digits for twelve consecutive quarters — now RMB 12.4B/quarter, ~35% of external cloud revenue. MaaS ARR passed RMB 16B in August against a RMB 30B December target.

The capex J-curve is the price of a durable moat, and the company can afford it. RMB 67.7B of June-quarter capex (+75%) drove a record RMB –44.7B FCF outflow — but ~RMB 190B of the RMB 380B three-year AI plan is spent with two-thirds of the timeline remaining, narrow net cash sits at ~\$30.7B, and the August HK\$80B placement was 3x covered in under an hour with Middle East SWFs and European long-onlys taking 40%+.

Proprietary silicon de-risks the spend. T-Head has shipped 500,000+ prior-generation chips; the Zhenwu M890 is commercially deployed with 650+ external customers, running inference for 2T-parameter-class models; the V900 launched at the September Apsara Conference. Every proprietary chip that replaces a procured GPU avoids 60–80% vendor gross margins — management targets capex payback shortening from ~3 years to ~2.5 years.

The open-source flywheel is underappreciated. The Qwen family has 3B+ downloads and 300,000+ derivative models — the most-used open model family in the world. Open-sourcing Qwen3.8-Max sacrifices near-term API revenue to own the developer standard and route inference demand back to Alibaba Cloud.

Why the market should be nervous

The bear case (\$64.36) is a real scenario, not a stress test. If the RMB 380B capex program overruns with weak returns, quick-commerce losses never inflect (profitability not expected until FY2029), and

chip controls tighten further, fair value is 39% below the price — revenue CAGR stalls at 3%, FCF margins compress 490bp vs base, and the J-curve becomes an L-curve.

VIE structure: holders own a contract, not the assets. The HFCAA delisting risk is dormant but persistent by statute; the June 2026 DoD 1260H listing, a pending US securities class action (lead-plaintiff deadline October 5, 2026), and the €550M EU DSA fine (July 2026) all demand position sizing with humility. Any escalation re-rates the risk premium overnight.

China e-commerce share is structurally fragmented. CMR decelerated to +1% like-for-like (from +8%); PDD and Douyin continue to take share. If core monetization stalls structurally rather than cyclically, normalized earnings power is lower than modeled.

The buyback era has paused. US\$12.5B (FY24) and US\$11.9B (FY25) of repurchases collapsed to ~US\$1B in FY26; SBC dilution is no longer being offset. Buybacks are a call option on the J-curve inflecting, not current price support.

2 Business Overview: The AI-First Conglomerate

Alibaba (founded 1999, Hangzhou) is China's largest e-commerce platform operator and its largest public cloud provider, executing an 'AI-first, user-first' pivot under CEO Eddie Wu (in seat since September 2023, with Chairman Joe Tsai). The strategy is full-stack: proprietary models (Qwen) → proprietary semiconductors (T-Head) → data centers and cloud (Alibaba Cloud) → AI applications (Qwen app, QwenWork). The June quarter introduced a new four-segment reporting structure: Alibaba E-commerce Group (RMB 205.9B rev, +4%; RMB 39.7B adj. EBITA — the cash machine), AI Cloud & Compute Services (RMB 48.4B, +45%; EBITA +133% — the growth engine), AI Labs & Applications (RMB 3.3B rev, –RMB 13.9B EBITA — the investment), and All Others (RMB 28.8B, +1%). Consolidated: RMB 269.0B (+9%), adj. EBITA RMB 27.3B (–30%) — the arithmetic of the J-curve.

The pricing architecture is the moat's plumbing: the ad auction on Taobao/Tmall monetizes intent at ~5%+ take rates with near-zero marginal cost; cloud converts that cash into token-priced inference sold at a structural cost advantage via proprietary silicon; open-sourcing Qwen sacrifices licensing revenue to maximize the inference volume flowing back through the stack. A vertically integrated AI toll road, each layer reinforcing the others.

Moat assessment: bifurcated — widening in AI infrastructure (cloud scale + enterprise switching costs, ~36–40% China public-cloud share; full-stack AI integration no other Chinese tech company matches; T-Head cost advantage), narrowing in traditional e-commerce (two-sided network effects fragmenting as PDD ~23% and Douyin ~17% take share). The investment case is a bet that the market is pricing the average while the mix shifts toward the widening half.

3 Financial Condition: Fortress Balance Sheet, J-Curve Income Statement

Three stories at once: the balance sheet is a fortress, the income statement is mid-J-curve, cash flow is at maximum strain — and the investment case requires holding all three in mind. Revenue re-accelerated to +9% in the June quarter (fastest in over a year); the profit collapse (adj. EBITA margin 17.3% → 7.5%) is four identifiable items — a €550M DSA provision, RMB 4.5B goodwill impairment, halved investment gains, and deliberate AI/quick-commerce investment — the first three largely non-recurring, the fourth the strategy.

RMB mn (FY ends Mar 31)	FY2024	FY2025	FY2026	Jun qtr FY27
Revenue	941,168	996,347	1,023,670	268,953
Revenue growth	—	+5.9%	+2.7%	+9%
Adjusted EBITA	165,114	172,277	76,416	27,329
Adj. EBITA margin	17.5%	17.3%	7.5%	10.2%
Capital expenditure	~45,000	~88,000	~122,800	67,678

RMB mn (FY ends Mar 31)	FY2024	FY2025	FY2026	Jun qtr FY27
Free cash flow	~137,600	73,870	–46,609	–44,670

Sources: company press releases and filings. The CFO explicitly warned against annualizing the June quarter (procurement lumpiness, a one-off CPU capacity surge for AI agents, chip-component price inflation). Cash and liquid investments of RMB 474.5B at June 30, 2026; narrow net cash ~\$30.7B; debt-to-equity 0.21.

4 Valuation — Hardened 10-Year DCF, Fair Value \$180

The September note's DCF ran five years at a flat 10.5% discount with 3.0% terminal growth and added the full RMB 691.9B of cash-plus-investments at carrying value — then set the target at \$145, below the \$165.83 DCF, on a 'show-me discount' that was never falsifiable. The rebuild values Alibaba on a **10-year scenario FCFF DCF** (FY27–FY36), weights bear 25% / base 50% / bull 25%, with scenario-specific discounts: **base 10.0%** (standard tier — net-cash market leader, but VIE + geopolitical + regulatory risk precludes the 9% compounder tier), **bear 12.5%** (base + 250bp), **bull 8.5%** (base – 150bp). Terminal growth is capped at **2.0% / 0.5% / 2.0%** on year-10 FCF at normalized mid-cycle margins — the bull's terminal growth is **haircut from 2.5% to 2.0% (disclosed)**, because at 2.5% the terminal value was 71.7% of bull-case EV, above the 70% line. Terminal value is 65.6% of base-case EV (no haircut required).

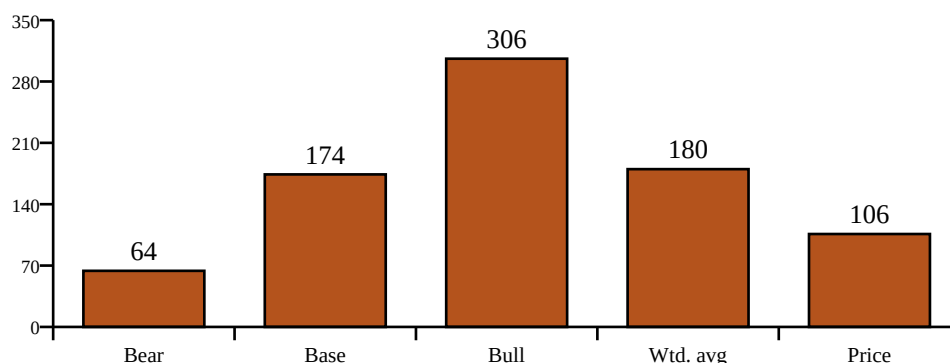
The balance-sheet bridge is hardened too: **RMB 598B of non-operating assets** = narrow net cash RMB 221B + investment securities at 80% of carrying (a **20% haircut, disclosed**, for regulatory/liquidity risk on the Ant Group stake and listed holdings — strategic stakes are not overnight liquidity, and their income is excluded from operating FCF, so carrying value was never the right number). 2.486B ADSs; FX 7.20.

Scenario DCF (10-year FCFF, RMB B):

Scenario	Rev CAGR	FCF path (RMB B)	FCF mgn yr-10	Discount / term. g	Fair value
Bear	+3.0%	–60 → 144	9.4%	12.5% / 0.5%	\$64.36
Base	+7.5%	–44 → 336	14.3%	10.0% / 2.0%	\$174.02
Bull	+9.5%	–30 → 492	17.4%	8.5% / 2.0%*	\$306.26
Probability-weighted (25/50/25) → \$180 target					\$180

*Bull terminal growth haircut 2.5% → 2.0% to keep terminal value ≤70% of EV (disclosed).

Scenario fair values vs. current price (\$/ADS)



The bear case hurts the way the rules require: AI capex overruns with weak returns, quick-commerce losses never inflecting, share loss to PDD/Douyin, and a geopolitical shock — FCF margins compress 490bp vs base (14.3% → 9.4%), the derating is 39%, and bear fair value **\$64.36** sits well below the \$105.85 quote. (Revenue CAGR of 3.0% misses the sub-3% condition, but margin compression and derating satisfy the two-of-three rule.) The base case — the capex envelope completes in FY28, cloud compounds ~25% for five years, EBITA margins recover toward

20% as AI Labs burn halves — is worth **\$174.02**. The bull case — MaaS beats its December target, T-Head substitution accelerates, Ant crystallizes — is worth **\$306.26**, even after the terminal-growth haircut.

Price target: \$180 ($0.25 \times \$64.36 + 0.50 \times \$174.02 + 0.25 \times \$306.26 = \179.66 , rounded). The target is the probability-weighted hardened DCF — no show-me discount, no multiple overrule. Cross-check: at base-case growth the market implies a ~13% discount rate — a distressed cost of capital for a net-cash market leader — which is the mispricing, stated plainly. Ex-cash, the operating business trades at ~12x FY27E earnings. What would falsify the BUY: MaaS ARR missing the RMB 30B December target while capex guidance rises (the build lacks demand pull); CMR turning negative like-for-like for two quarters (the cash machine is structurally impaired); or a new HFCAA adverse determination or VIE crackdown. We would sell on thesis convergence toward \$180, not on volatility.

5 Key Risks

Geopolitics and US-listing overhang (High). VIE structure; HFCAA delisting risk dormant but persistent by statute; June 2026 DoD 1260H listing; pending US securities class action (lead-plaintiff deadline October 5, 2026).

AI-chip export controls (High). The January 2026 BIS rule restricts Nvidia H200/AMD MI325X flows into China; controls accelerate T-Head substitution but restrict frontier training capacity and inflate component prices.

Capex overrun / weak returns (High). ~RMB 190B of the RMB 380B envelope spent at one-third of the timeline; management says spend will 'likely be exceeded.' If AI demand disappoints, the J-curve becomes an L-curve.

Quick-commerce losses that never inflect (Medium-High). Overall profitability not expected until FY2029; the Meituan/JD subsidy war already drew RMB 3.6B of regulator fines.

China e-commerce share loss (Medium). CMR at +1% like-for-like; PDD and Douyin take share; a structural stall lowers normalized earnings power.

EU regulatory exposure (Medium). The €550M DSA fine (July 2026) comes with an October 2026 remedial-action deadline and a December compliance review.

Execution and key-person risk (Medium). The thesis rides on Eddie Wu's AI-first pivot; authority is increasingly concentrated.

Catalysts (next 12 months)

September-quarter print (~mid-November 2026): cloud acceleration holding (10th quarter), MaaS ARR progress toward RMB 30B, quick-commerce unit-economics improvement.

December 2026 MaaS ARR target (RMB 30B): already ahead of plan at RMB 16B in August — a hit or beat validates AI monetization.

Ant Group IPO path: Ant International's eyed Hong Kong IPO would mark the ~33% stake to market — a direct SOTP unlock.

Buyback resumption: >US\$19B of authorization unused; any re-acceleration signals management's view that the J-curve is inflecting.

Zhenwu silicon milestones: second-generation chips in development; rising external customer counts de-risk the capex payback thesis.

Recommendation

BUY, \$180 target (+70.0%), High risk. Alibaba is a net-cash AI-infrastructure leader trading at a value multiple because the market refuses to underwrite the J-curve. The hardened 10-year DCF values the equity at \$180 (bear \$64.36 / base \$174.02 / bull \$306.26) against a \$105.85 quote — even with investment carrying values haircut 20%, the bull's terminal growth haircut, and VIE/geopolitical risk priced into a 10–12.5% discount curve. The

September \$145 target is withdrawn: it was the right direction with the wrong discipline — a show-me discount stacked on top of already-conservative inputs. **Size with humility:** VIE structure, US-China chip controls, the pending class action, and the execution risk of a RMB 380B+ capex program are all real. But the risk/reward at ~12x ex-cash earnings remains the most asymmetric we have seen in large-cap China tech this year. **Falsification:** a MaaS ARR miss with rising capex guidance, two quarters of negative like-for-like CMR, or an HFCAA/VIE escalation — any of which breaks the base case from the inside, and we would exit.

Methodology & sources. Valuation as of October 4, 2026; share price \$105.85 (10/2/26 close). Model: 10-year scenario FCFF DCF, weights bear 25% / base 50% / bull 25%; discounts base 10.0% (standard tier) / bear 12.5% / bull 8.5%; terminal growth 2.0% / 0.5% / 2.0% (bull haircut from 2.5%, disclosed) on year-10 FCF at normalized mid-cycle margins. Non-operating assets RMB 598B (narrow net cash RMB 221B + investments at 80% of carrying, 20% haircut disclosed); 2.486B ADSs; FX 7.20. Bear case meets two of three hurt conditions (margin compression, derating) and sits below the current price. Terminal value is 65.6% of base-case EV (no haircut required). Build: valuation_model.py → valuation_output.json → build_note.py (reportlab). Financials from company press releases (June quarter FY2027, FY2026 results); market data via Yahoo Finance. This note is research analysis for informational purposes and is not personalized investment advice. Equity investing involves risk of loss. The author holds no position in BABA at the time of writing.